

1-B:

A: The ability to change resource allocation is the feature of long run, as there is existence of variable factors of production, and factors of production including capital can be varied.

B: The ability to change the state of technology is the feature of very long run, as in that case, a firm not only is able to change production technology through building a new plant, for example, but this plant makes use of improved technology and is adapted to the new government regulations and has access to an improved transport infrastructure as well. **This is why, key B will be correct.**

C: The absence of government market intervention represents a "market economy"

D: The existence of variable factors of production is a feature of long-run

2-A:

An increase in automation and division of labor means that a blend of technologically advanced equipment and specialized workforce will contribute to a rise in productivity, which means that a greater output is produced per unit of input, which is most likely to happen, thus making A correct

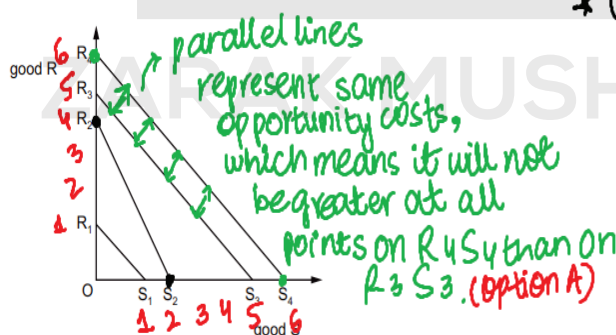
Additionally, with rising productivity comes a rise in output and in turn a fall in average costs, rather than a rise, **this is why, an increase in cost per unit is least likely to happen, leading to option B being the answer.**

With a reduction in costs, there is an increased likelihood of a "rise in profits", which is why option C becomes incorrect.

And, an increase in the number of workers employed is most likely to occur since there will be a higher demand for trained labor force, as a result of which option D becomes incorrect

3-A:

3 R₁S₁, R₂S₂, R₃S₃ and R₄S₄ are production possibility curves (PPC) for four different countries 1, 2, 3 and 4.



* Opportunity cost ratio of
 country 2 :-
 $4R : 2S$
 $1R : 2/4S$
 $1R : 0.5S$
 country 3 :-
 $5R : 5S$
 $1R : 5/5S$
 $1R : 1S$

Which statement about the opportunity cost of good R in terms of good S is **not** correct?

- ☒ A It is greater at all points on R₄S₄ than on R₃S₃. *It is greater in country 3 than in country 2. refer to calculations*
- ☐ B It is greater in country 3 than country 2. *It is lower in country 2 than in country 1*
- ☐ C It is lower in country 2 than country 1. *At each point on a linear curve, there is a constant opportunity cost*
- ☐ D It is the same at each point on R₃S₃.

Note: The steeper slope for country 2 indicates that the opportunity cost of good R is lower in country 2 than in country 1.

4-A:

A -It can be seen that due to lack of adequate, accurate or appropriate information about the true harm the fizzy drinks present in form of health problems, imperfections or information failure is created, which is why this becomes correct.

B- Due to information failures and lack of public awareness regarding the true harm these goods present, these fizzy drinks are over-consumed, thus making this incorrect.

C- In the case of sugar-sweetened beverages, harm to society is related to public budgets and the public health costs of treating obesity, diabetes and cardiovascular disease. **Economists call these negative externalities.** Poor health also adversely affects work and productivity. Therefore, the social cost of sugar consumption is greater than the private cost of sugar. In addition to the external costs, **we can class sugary drinks as a demerit good** instead of a “merit good”, thus making this incorrect.

D:Fizzy drinks are private goods, and therefore they exhibit the characteristic of “excludability” instead of them being “non-excludable” as payment by one individual restricts others from consuming the good, thus making this incorrect.

5-D:

Wholesaler : the business of selling goods to retailers in larger quantities than they are sold to final consumers but in smaller quantities than they are purchased from manufacturers.

Retailer: a person or business that sells goods to the public in relatively small quantities for use or consumption.

A and B -A fall in the world price of tea in wholesale markets will reduce the costs of the retailer who purchases tea from the wholesale market to be sold, this reduction in costs will cause an increase in supply, rather than contraction or extension along the supply curve, therefore A and B cannot be the answer.

C-In this case, due to the falling price of tea, that serves as an inventory for a retailer and also reduces costs, the supply should not decrease.

D-A fall in the world-price of tea in wholesale markets will reduce the costs of the retailer who purchases tea from the wholesale market to be sold ; this reduction in costs will cause an increase in supply, thus making this correct.

6-D:

- A- We could have only been able to identify if a good accounts for a small proportion of household expenditure if we had the relevant information of price elasticity of demand and the value for PED was less than 1.
- B- We could have only been able to identify if a good has few substitutes if we would have the relevant information of price elasticity of demand and the value for PED was less than 1.

- C- This would have been the case of price elastic demand that an increase in price causes a fall in total expenditure because quantity demanded contracts by a larger percentage. We do not have relevant information of price elasticity of demand.
- D- Since the value of income elasticity of demand is negative, we can say that milk is an **inferior good**, this is why this option is correct

7-D:

A- A is wrong since curve 1 represents perfectly inelastic supply curve in the case of which $PES=0$. It can never have infinite elasticity.

B-curve 2 is touching x axis representing inelastic supply (<1).Whereas, curve 4 touches the y axis representing elastic supply (>1)therefore it is incorrect. Curve 4 has greater elasticity than curve 2.

C- Curve 3 is starting from the origin representing unitary elastic supply, representing that the elasticity is equal to 1 throughout the length of the curve, thus making this incorrect.

D- Based on the elimination method, we are left with option D only, which is true as in case of curve 4,there is decreasing elasticity as price rises.

8-A:

price rises from 20 to 25

Short run : QS rises from 400 to 440

$$PES = \frac{\frac{440 - 400}{400} \times 100}{\frac{25 - 20}{20} \times 100}$$

$\rightarrow = 0.4$
(inelastic) $\Rightarrow < 1$

Long run : QS rises from 400 to 560

$$PES = \frac{\frac{560 - 400}{400} \times 100}{\frac{25 - 20}{20} \times 100}$$

$PES = 1.6$
(elastic) $\Rightarrow > 1$

Usually, in the short-run the supply is inelastic as the producer's responsiveness is low, as he cannot adjust more and respond to changes in demand, because factors of production are fixed and cannot be varied. Therefore, in the short run, the supply is inelastic.

Whereas, in the longer run, a producer's responsiveness is higher, this is because factors of production including capital can be varied. Therefore, in the long run, the supply is elastic.

The calculation above explains why option A will be the answer.

9-B:

B: Explanation of "mcq" : Farm is earning 10,000 dollars at price level of 5 dollars and a quantity of 2000 tons in the first year when the supply curve is S1, and now after a shift in supply curve, the price should be dollar 2 and qty should be 5000 tons for the revenue of the farmer to remain unchanged. Thus, at price level of 2, the demand should shift by 1000 tons from **4000 to 5000 tons**.

This is why option B that says '1000 tons at all prices' is correct.
Therefore, no other option can be correct.

10-D:

An **unstable disequilibrium** is when a market does not return to an original equilibrium point from a disequilibrium position.

A: Price level of A represents a price above the equilibrium, which here results in an extension in qty supplied and a contraction in qty demanded, thereby resulting in a surplus, because of which the market equilibrium price falls that results in an extension in qty demanded and a contraction in qty supplied, therefore, causing an equilibrium to be achieved thus making this incorrect.

B: Price level of B represents the price below the equilibrium, which results in an extension in quantity demanded and a contraction in qty supplied, creating a shortage in the market. As a result of which, the equilibrium price increases, which brings about a contraction in qty demanded and an extension in qty supplied causing the equilibrium to be achieved.

C: Price level of C represents the price below the equilibrium, which results in an extension in quantity demanded and a contraction in qty supplied, creating a shortage in the market. As a result of which, the equilibrium price increases, which brings about a contraction in qty demanded and an extension in qty supplied causing the equilibrium to be achieved.

D: Price level D represents the price below the equilibrium price, which in this case brings about an extension in qty supplied and a contraction in qty demanded resulting in a surplus, which is technically not correct as a fall in price should result in a shortage for an equilibrium to be achieved, thus making this an **unstable disequilibrium** which is why this option is correct.

11-B:

Note: A situation alternative to price mechanism is only necessary when a price control is imposed.

A: It is not necessary to use price control that is alternative to price mechanism when the supply exceeds the qty demanded at the initial market price, as the rationing function of price mechanism can lead to the elimination of surpluses through a fall in price.

B: The government's attempt to set a price ceiling that represents a maximum price legislation would make it necessary to use price control that is alternative to price mechanism, thus making this correct

C: The product is rival and excludable, which represents a private good, and therefore the allocative mechanism used in case of private goods is 'price mechanism'

D-Monopoly firms also make use of price mechanism when allocating goods. A situation alternative to price mechanism is only necessary when a price control is imposed.

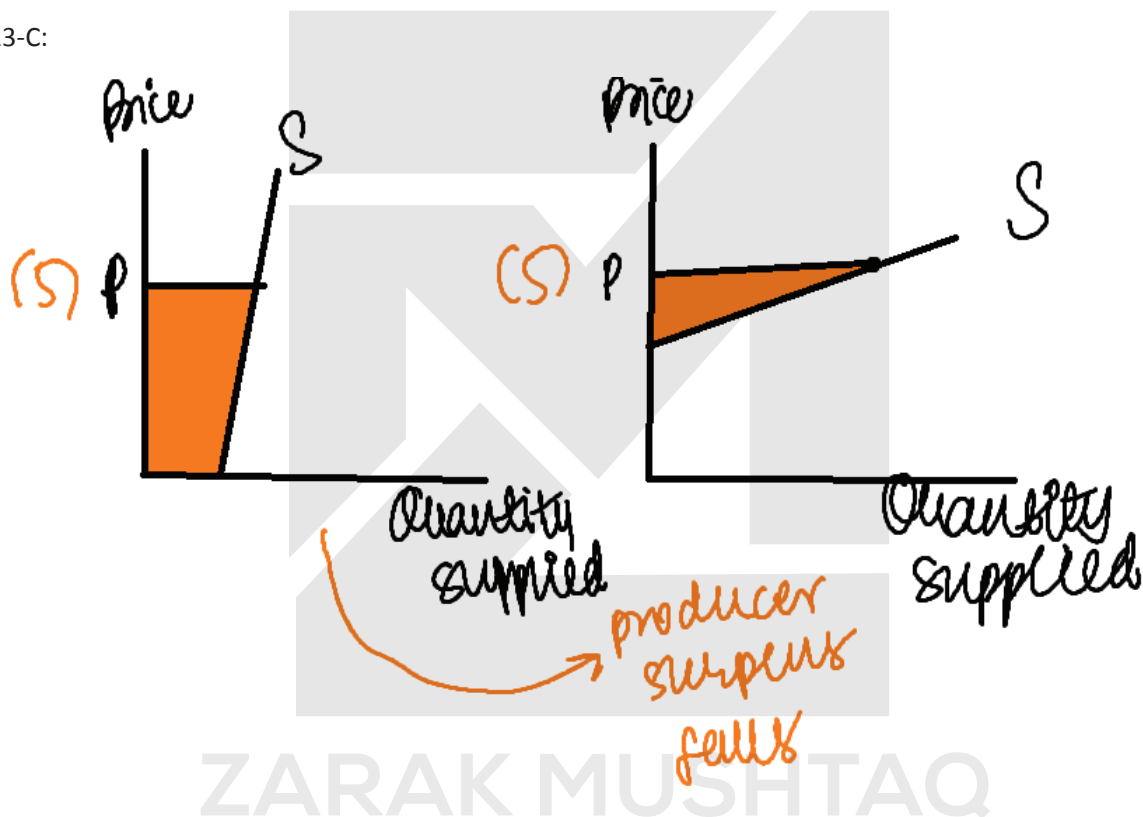
12-B:

Consumer surplus is the difference between the maximum total amount a consumer is willing to pay and the price he actually pays for, that is the market price. If a consumer buys four products consecutively, the total willingness will be $0.9+0.8+0.65+0.5$ i.e. 2.85

And the total price of four goods will be 0.5×4 i.e. 2.

The difference is the consumer surplus that is 0.85

13-C:



When elasticity of supply curve changes from “inelastic” to “elastic”, the producer surplus falls, this can be seen in the diagram above. Whereas, nothing happens to the consumer surplus since there is no change in the price. If equilibrium price does not change, this represents “perfectly elastic demand”, whereby there is no existence of consumer surplus.

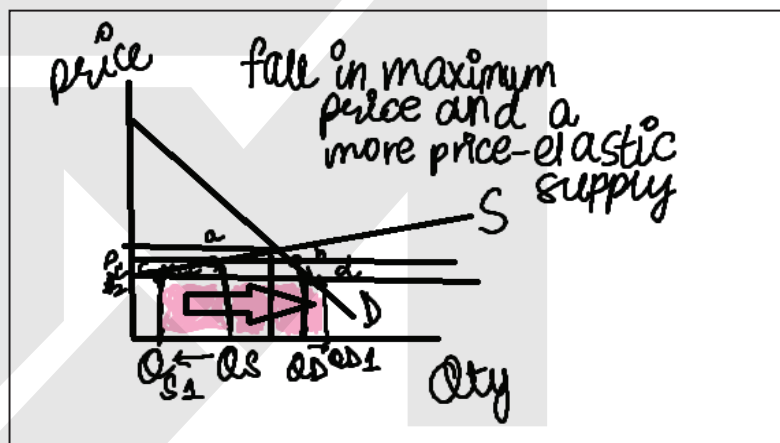
14-B:

A - A fall in maximum price would lead to an extension in quantity demanded, but when supply is less price elastic, that is the responsiveness of supplier is low, the quantity supplied will contract by a smaller percentage, therefore the shortage would not increase by the most.

B-A fall in level of maximum price would lead to an extension in qty demanded, but when supply is more price elastic, this would lead to a contraction in quantity supplied by larger percentage, therefore causing the existing shortage to increase by the most, thus making it the correct option. This is shown in the diagram below.

C - A rise in the level of maximum price would lead to a contraction in qty demanded and since the supply is less price elastic, it will lead to extension in qty supplied by a smaller percentage, thereby resulting in surplus.

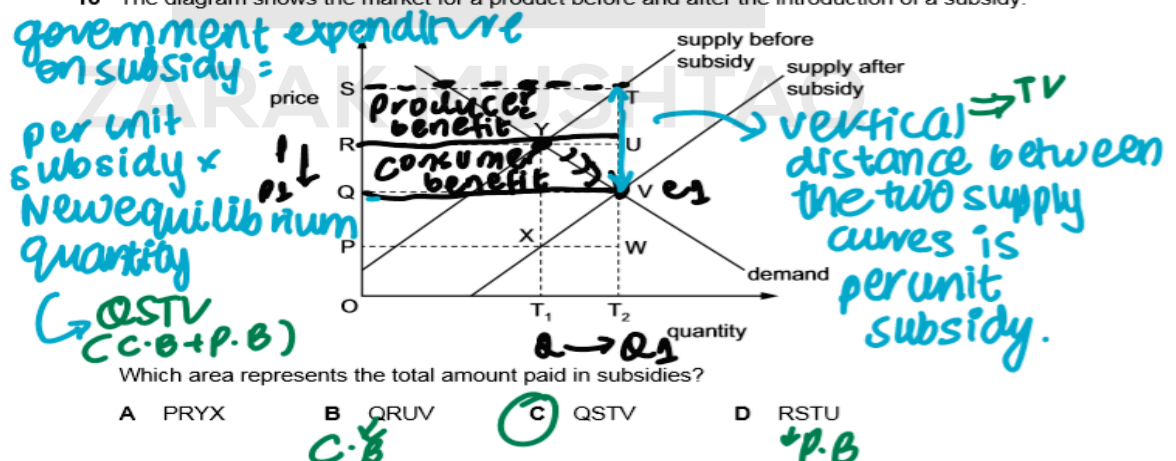
D - This will again lead to a surplus but since the supply is more price elastic, an extension will occur by a greater percentage, thereby increasing the surplus, thus making it incorrect.



15-C:

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15 The diagram shows the market for a product before and after the introduction of a subsidy.

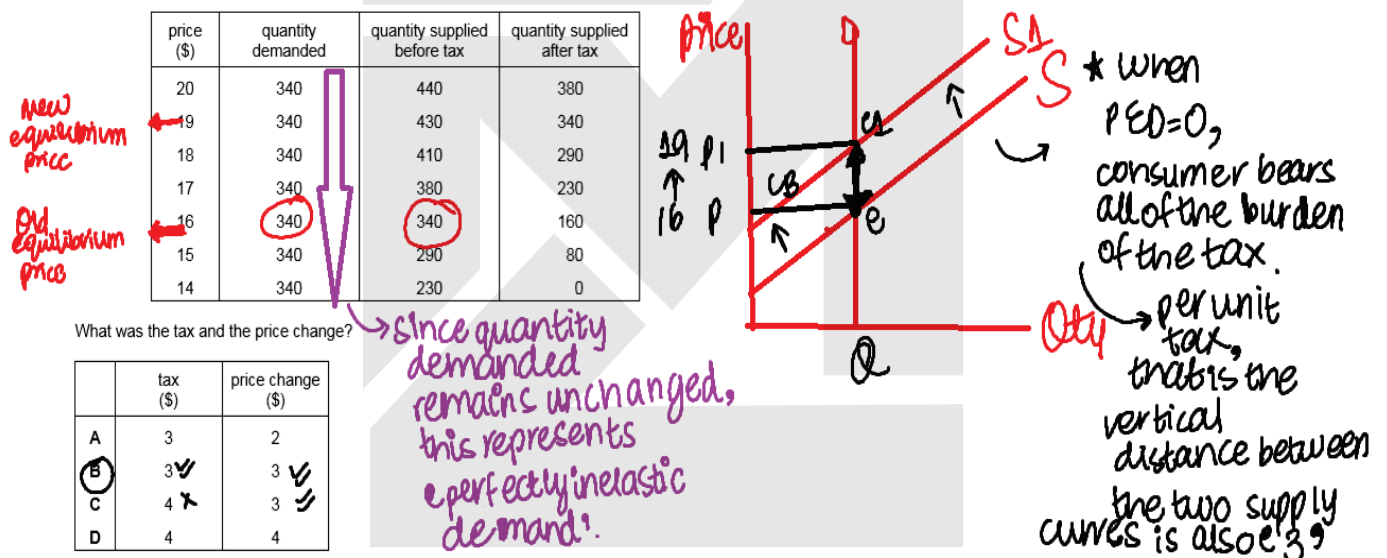


16-C:

It can be seen in the figure that economic welfare is highest in health than education, this means that more of health has to be allocated budget on healthcare as compared to education.

- A- Here, entire budget is allocated towards “education” that gives the least economic welfare, thus making this incorrect
- B- This also shows that more spending is done on education than on health, although health has the highest economic welfare
- C- This is correct because here more spending is done on health , which generates the highest level of economic welfare.
- D- Here, only healthcare is being provided which is incorrect as we are interested in an option that results in “budget being allocated between both: healthcare and education”

17-B:



18-C:

A - The contracting out of the provision of public sector services to private sector firms: This option, often referred to as outsourcing, involves hiring **private sector firms to provide public sector services**. It is considered a form of privatization because the actual provision of services is transferred from the public sector to private sector entities.

B - Deregulation refers to the removal or relaxation of government regulations and restrictions in specific industries **Previously, public sector industries were regulated by the government when direct provision was being done, but now after deregulation, when regulatory barriers are reduced, more private sector firms enter the industry, which was previously dominated by the government .**

C) The payment of subsidies from the public sector to private sector firms: The payment of subsidies involves providing financial support from the public sector to private sector firms. However, subsidies do

not involve the transfer of ownership or control of public sector assets to private firms. **Subsidies represent government intervention, thus making it correct**

D) The sale of shares in a public sector corporation to the private sector: The sale of shares in a public sector corporation to the private sector is a classic example of privatization. It entails the transfer of ownership and control of a public sector entity to private shareholders through the sale of shares.

19-D:

We are interested in an **option** that results in a rightward shift in the Aggregate demand curve and a leftward shift in the Aggregate Supply curve.

- A- Higher interest rates after having increased savings would reduce consumption, and in turn AD. But, a discovery of natural resource would lead to a surplus of resources, resulting in a fall in costs and in turn a rise in Aggregate supply.
- B- Increased consumer confidence would lead to a rise in consumption, and in turn Aggregate demand. But reduced raw material prices would increase AS.
- C- Less business confidence would lead to a fall in investment and in turn Aggregate demand. Whereas, higher indirect taxes after increasing costs contribute to a decline in Aggregate supply.
- D- A depreciation in the exchange rate, may lead to export-oriented goods appearing relatively cheaper in the international market, and this global competitiveness may bring about an extension in the international quantity demanded of exported goods, and that too by a relatively higher percentage, when the demand for them is elastic, which leads to an increase in export-revenues, relative to import expenditures which fall because now imported goods appear relatively expensive, which results in a contraction in qty demanded of imported goods. This leads to a Balance of Trade Surplus, and these net-injections in to the circular flow, bring about an increase in Aggregate demand. And, because of net outward migration, there would be a shortage of skilled labour that would contribute to a rise in costs and in turn a fall in Aggregate Supply, thus making option D correct.**

20-C:

A: A decrease in savings represent a rise in consumption expenditure leading to a rise in Aggregate demand, and when Aggregate demand exceeds Aggregate supply, this results in shortages and in turn a rise in general price level leading to demand pull inflation.

B: A decrease in unemployment after increasing purchasing powers of individuals would contribute to an increase in consumption, leading to a rise in Aggregate demand, and when Aggregate demand exceeds Aggregate supply, this results in shortages and in turn a rise in general price level leading to demand pull inflation.

C: An increase in labor productivity after having decreased costs would increase Aggregate supply of the economy and since this results in a surplus of resources, this would lead to a fall in general price level, representing that cost push inflation is controlled, thus making this correct

D: An increase in tariffs after having raised the prices of imports, when lead to a reduction in qty demanded of imports by a relatively smaller percentage, incase of them having inelastic demand would result in a rise in import expenditures and in turn costs, leading to a fall in Aggregate supply, therefore resulting in cost push inflation.

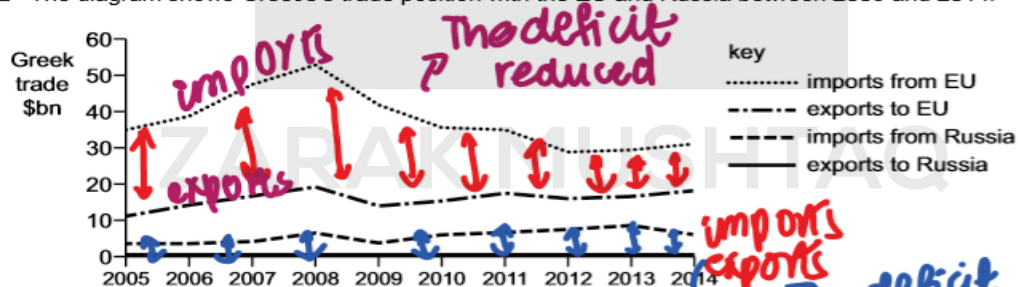
21-A:

NEW YEAR'S INDEX			Weighted price index
product	percentage of income spent on this product (weights)	initial year's index adjusted with percentage change in price	weight x index of current year
P	10%	$100 + 8 = 108$	$10 \times 8 = 10.8$
Q	15%	$100 + 6 = 106$	$15 \times 9 = 15.9$
R	25%	$100 + 4 = 104$	$25 \times 26 = 65$
S	50%	$100 - 9 = 91$	$50 \times 91 = 45.5$
			<u>Total: 98.2 (CPI)</u>

* Initial yr's CPI = 100
 * current yr's CPI = 98.2
 * $\frac{\text{New} - \text{Old}}{\text{Old}} \times 100$
 * $\frac{98.2 - 100}{100} \times 100 = -1.8\%$

22-C:

22 The diagram shows Greece's trade position with the EU and Russia between 2005 and 2014.



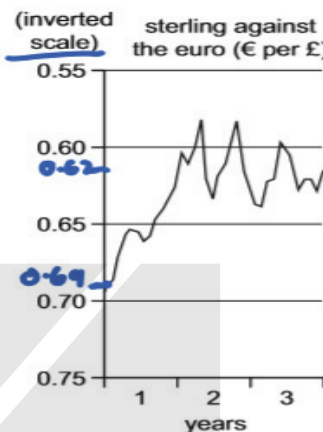
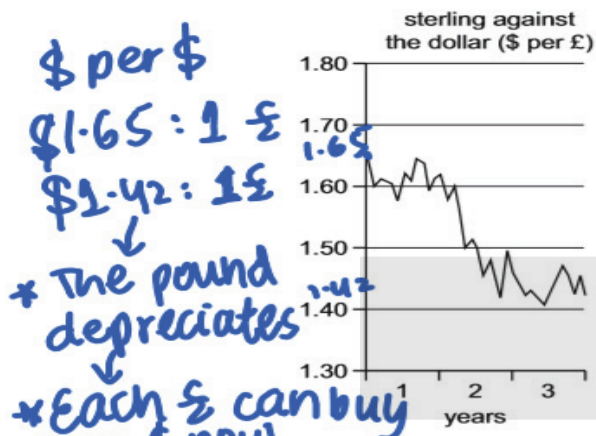
What happened to Greek trade balances over this period?

	balance with the EU	balance with Russia
A	an increased deficit	an increased surplus
B	an increased surplus	a reduced surplus
<u>C</u>	<u>a reduced deficit</u>	<u>an increased deficit</u>
D	a reduced surplus	a reduced deficit

23-D;

11

23 The graphs show the changes in the exchange rates of the £ sterling against the US\$ and against the euro. The exchange rate of sterling against the euro is shown by an inverted scale.



Which statement about the period year 1 to year 3 is correct?

- A The £ appreciated against the \$ and the €.
- B The £ appreciated against the \$ and depreciated against the €.
- ☒ C The £ depreciated against the \$ and the €.
- D The £ depreciated against the \$ and appreciated against the €.

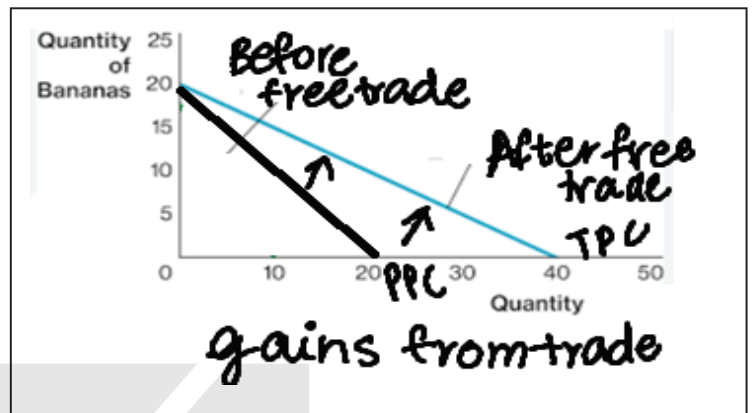
24-D:

Terms of trade is the ratio of export prices to the ratio of import prices.

- A- An improvement in the terms of trade leads to "import prices becoming relatively cheaper", making this incorrect
- B- No, this is incorrect as a rise in terms of trade represents a rise in export prices, and un-competitiveness of exports may prevent foreign currency entering the country to pay for exports.
- C- No, the monetary value of imports and exports is not equalized.
- D- Yes, terms of trade that is the ratio of export prices to the ratio of import prices improves, thus making this correct.

25-B:

A – Because of participating in free trade, whereby no tools of protectionism are used, for example: tariffs, an economy can consume more than its ability to produce, as the PPC shifts to trading possibility curve, and an unattainable point can be achieved in the short-run, this means that people can now enjoy more choices.



B- Free trade has nothing to do with equal distribution of income. It has nothing to do with transfer of incomes from the rich to the poor, thus making this correct.

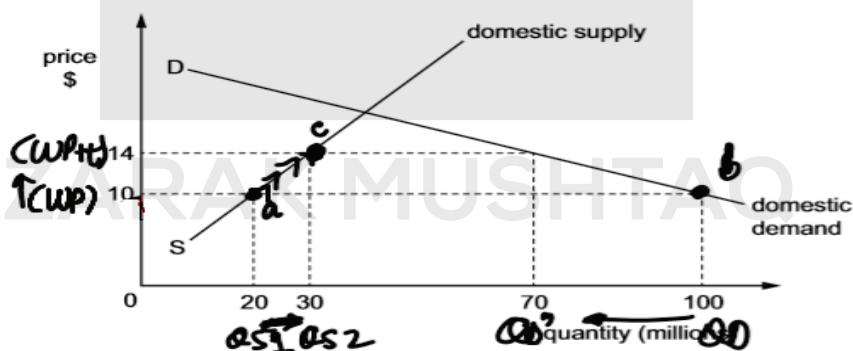
C – Countries who engage in free trade specialize on the basis of comparative advantage, and they export the goods in which they have a comparative advantage, and import the good in which, they have a comparative disadvantage.

D – As mentioned above in option A, when there is availability of more imported consumer goods, consumers get to enjoy a higher standard of living.

26-C:

The solution below explains why C will be the answer.

26 The diagram shows that the imposition of a tariff raises a product's world price from \$10 to \$14.



What was the change in domestic producers' income as a result of the tariff?

- A It rose by \$120 million.
- B It rose by \$160 million.
- C It rose by \$220 million.**
- D It rose by \$280 million.

increases by 220 million
earlier $\Rightarrow 10 \times 20 = 200$ (old price $\times$ old QS)
** After tariff $\Rightarrow 14 \times 30 = 420$ (new price $\times$ new QS)*

27-B:

A – No, this is incorrect as it is easier to anticipate the impact of quota since it fixes the quantity

B – Yes, this is correct, as quota unlike tariff, which is a tax, is less effective in raising revenue.

C – No, it is not ineffective when imports are necessities, that is, when the demand is inelastic, because in all cases, quota restricts the qty that can be imported.

D – This is incorrect as it does not prevent any involvement of market forces, there is still involvement of demand and supply.

28-D:

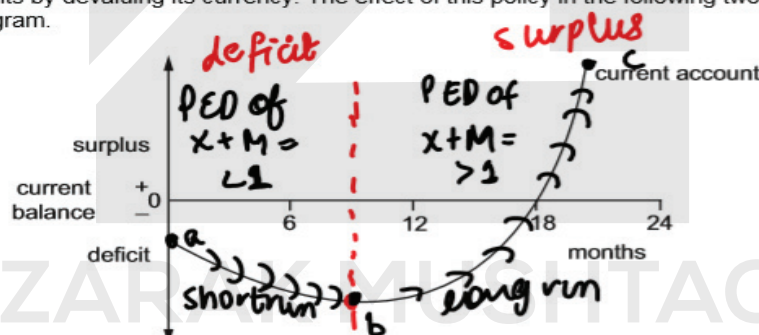
Because of an increase in government spending relative to tax revenue, the government's **budget deficit increases**.

And since, funds are raised due to issuance of bonds, there will be **a rise in the supply of bonds**.

This is why, key D, becomes correct.

29-A:

- 29 A country at the beginning of a given period seeks to improve the current account of its balance of payments by devaluing its currency. The effect of this policy in the following two years is shown in the diagram.



The J-curve effect primarily focuses on the impact of price elasticity of demand (PED) on the balance of trade, after depreciation. It examines the short-term and long-run response of trade balance following a currency depreciation or devaluation

A – In the short-run, the combined sum of PED of imports and exports is greater than 1 (**very low**), this is why, there is a deficit, thus making this correct.

B – Due to a Balance of trade deficit (current account deficit) being reduced and a move towards a surplus after 12 months, due to a rise in net injections in the circular flow, Aggregate

demand will increase , leading to a rise in the rate of domestic inflation , rather than a fall, when Aggregate demand exceeds Aggregate supply.

C- The elasticity of demand for both: imports and exports is greater than 1 , after 12 months, as it represents the long-run.

D – It is incorrect to say that the policy was ineffective , as in the long run, it will lead to a surplus.

When a country depreciates its currency, it effectively lowers the price of its exports in terms of foreign currencies, making them more competitive and potentially increasing their demand. At the same time, it makes imports more expensive, which can reduce their demand.

Let's assume a situation whereby the combined price elasticity of demand for exports and imports is -2.0(greater than 1)

If the combined price elasticity of demand for exports and imports is -2.0, it means that a 1% decrease in the price level (due to currency depreciation) would lead to a 2% increase in the quantity demanded of exports (**by a relatively higher percentage than a fall in price**) and a 2% decrease in the quantity demanded of imports. (**by a relatively higher percentage than the rise in price**). This would **result in a rise in export revenues relative to import expenditures which will fall, resulting in a movement from a “ deficit” to a “surplus” in both the Balance of Trade and the current account balance.**

This is because the Marshall Lerner condition is being satisfied, according to which, the sum of combined elasticities of demand of imports and exports must be greater than 1, for depreciation to be effective.

30-A:

A,) Education and training contributes to improved product quality and innovation. By investing in research and development, technology adoption, and continuous improvement programs, businesses can produce higher-quality products that meet international standards and customer expectations. Improved product quality enhances the competitiveness of exports in global markets and increases the likelihood of export success , and a rise in export revenues helps to correct the current account deficit. And , a rise in Long Run Aggregate supply , due to education and training helps to reduce the levels of structural unemployment as workers now become flexible, versatile and multiskilled, and can switch from one job or industry to another, in face of changes in demand. This is why, this will be correct.

B) A revaluation of the currency: A rising exchange rate can lead to imports become cheaper, leading to an extension in qty demanded of imports, leading to a rise in import expenditures relative to export revenues which fall since export oriented goods becoming relatively expensive , which means that there will be a contraction in qty demanded of exports, therefore resulting in **a Balance of Trade deficit(issue of deficit is worsened)**, which since represents net-

leakages from the circular flow, results in a fall in Aggregate demand, bringing down a fall in general price level. This would make demand-pull inflation less likely. And this fall in Aggregate demand will lead to a fall in production, demand for labour, and in turn, a rise in unemployment **(the issue of unemployment worsened further)**

C) Although a rise in interest rate would increase the incentives to save, and savings ratio, it will lead to a fall in consumption expenditure on imported goods , and this would reduce import expenditures, which will help reduce the deficit. But, since domestic consumption expenditure would fall as well, this will lead to a fall in Aggregate demand , which will lead to a fall in production, demand for labour, and in turn, a rise in demand-deficient unemployment **(the issue of unemployment worsened further)**

D- A rise in direct taxes, for example, income taxes will decrease the disposable income of consumers, which represents the actual purchasing power , as this is the income which can be spent or saved, leading to a fall in purchasing power and in turn consumer confidence ,bringing about a decrease in consumption expenditure by individuals, which causes the Aggregate demand to fall. which will lead to a fall in production, demand for labour, and in turn, a rise in demand-deficient unemployment **(the issue of unemployment worsened further)**. **Although, by reducing the ability of individuals, it would decrease the consumption of imported goods as well, helping to reduce the deficit.**

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